S&P Capital IQ PRO

Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4278592; SPCIQ KEY: 877906; TCUID: 53231)

Public

Year: Methodology Year: 2023
Question: Climate Risk Management
Include Modeled Scores : Yes

Climate Risk Management

Question

Does the company have a climate risk management process?

Rationale

The purpose of this question is to assess whether your company has a climate risk management process – that is, a process for identifying, assessing, and responding to climate-related risks. Although nearly all organizations are affected by climate change-related risks, the most significant effects of climate change are likely to emerge over the medium to longer term, while the precise timing and magnitude of these impacts remain uncertain. Climate risk assessments covering different climate risk types, different value chain stages and time-horizons can be helpful to understand the potential effects of climate change on companies' businesses, strategies, and financial performance.

This question is aligned with the TCFD Risk Management recommendations which include recommended disclosures on the organization's processes for identifying and assessing climate-related risks, and on how processes for identifying, assessing, and managing climate-related risks are integrated into the organization's overall risk management.

This question is also aligned with the European Non-financial Reporting Directive 2014/95/EU, which demands that when reporting on their climate-related risks and opportunities, companies consider their whole value chain. Risks of negative impacts on an organization and risks of negative impacts on the climate may arise from companies' own operations and may also occur throughout the value chain, both upstream in the supply chain and downstream.

Performance Summary	
Question Level Company Performance	85
Question Weight	9
Year-on-Year Change	(15)
Industry Average Score	37
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

Risk Assessment: Systematic process for an organization to evaluate potential risks that may impact its assets and operations.

(TCFD (2017), Recommendations of the Task Force on Climate-related Financial Disclosures)

Physical risks: Physical risks resulting from climate change can be event driven (acute) or longer-term shifts (chronic) in climate patterns. Physical risks may have financial implications for organizations, such as direct damage to assets and indirect impacts from supply chain disruption. Organizations' financial performance may also be affected by changes in water availability, sourcing, and quality; food security; and extreme temperature changes affecting organizations' premises, operations, supply chain, transport needs, and employee safety.

- **Acute physical** risks refer to those that are event-driven, including increased severity of extreme weather events, such as cyclones, hurricanes, or floods.
- **Chronic physical** risks refer to longer-term shifts in climate patterns (e.g., sustained higher temperatures) that may cause sea level rise or chronic heat waves.

TCFD (2017) https://www.tcfdhub.org/Downloads/pdfs/E06%20-%20Climate%20related%20risks%20and%20opportunities.pdf

Transition risks: Transitioning to a lower-carbon economy may entail extensive policy, legal, technology, and market changes to address mitigation and adaptation requirements related to climate change. Depending on the nature, speed, and focus of these changes, transition risks may pose varying levels of financial and reputational risk to organizations. Transition risks can be divided into four categories: policy and regulatory risks, technological risks, market risks, and reputational risks.

- **Policy, regulation and legal risks** include implementing carbon-pricing mechanisms to reduce GHG emissions, shifting energy use toward lower-emission sources, and adopting energy-efficiency solutions. The risk associated and financial impact of policy changes depend on the nature and timing of the policy change. Another important risk is litigation risk, which can occur as a result of litigation by for example property owners, municipalities, states, insurers, shareholders, and public interest organizations.
- **Current regulations** include current laws and regulation related to carbon pricing mechanisms, emissions reporting, existing products and services, the supervision of climate risks in the financial sector (Financial services only)
- **Emerging regulations** include emerging laws and regulation related to carbon pricing mechanisms, emissions reporting, existing products and services, the supervision of climate risks in the financial sector (Financial services only)
- **Technological risks** result from technological improvements or innovations that support the transition to a lower-carbon, energy-efficient economy. For example, the development and use of emerging technologies such as renewable energy, battery storage, energy efficiency, and carbon capture and storage will affect the competitiveness of certain organizations, their production and distribution costs, and ultimately the demand for their products and services from end-users.
- **Market risks** can impact companies in various ways. One of the major ways is through shifts in supply and demand for certain commodities, products, and services.
- **Reputational risks** may arise from changing customer or community perceptions of an organization's contribution to or detraction from the transition to a lower-carbon economy.

TCFD (2017), Technical Supplement: The Use of Scenario Analysis in Disclosure of Climate-related Risks and Opportunities)

Value Chain: Terminology used to describe the upstream and downstream life cycle of a product, process, or service, including material sourcing, production, consumption, and disposal/recycling.

- **Upstream activities** include operations that relate to the initial stages of producing a good or service, e.g. material sourcing, material processing, and supplier activities.
- **Own operations** include operations related to the direct stages of producing a good or service, such as manufacturing or processing the materials into a finished product.
- **Downstream activities** include operations that relate to processing the materials into a finished product, delivering it to the end user, and the customer use phase (e.g. transportation, distribution and consumption).

(TCFD (2017), Technical Supplement: The Use of Scenario Analysis in Disclosure of Climate-related Risks and Opportunities)

Time Horizon: Terminology used to describe what your organisation considers to be short-, medium- and long-term horizons (from year to year) considering the expected lifetime of the assets or activities.

Data Requirements

For the first part of the question, please select the option that best describes the risk management procedures with regard to climate change risks and opportunities.

If you have more than one climate risk management process in place in your organization, please select the one that is most commonly employed.

Please include in your response which types of physical and transition risks are considered in your risk assessment, along with the value chain stages covered and the time horizons considered.

Value chain stages considered may differ depending on which types of physical and transition risks are considered. Please select all the value stages considered and time horizons included if they were used to assess at least one of the physical or transition risk types selected. Time horizons must be available for at least one of the physical or transition risk types selected.

Supporting evidence:

- The document(s) you attached will be used to verify your response.
- The supporting documents must be available in the public domain.
- Any response that cannot be verified in the attached document(s) will not be accepted

References

TCFD (2017), Technical Supplement: The Use of Scenario Analysis in Disclosure of Climate-related Risks and Opportunities

https://www.fsb-tcfd.org/publications/final-technical-supplement/

CDP (2017), CDP Technical Note on Scenario Analysis – Conducting and disclosing scenario analysis

EU, Technical Expert Group (TEG)(2020) Technical Annex on technical screening criteria for economic activities that can make a substantial contribution to climate change mitigation or adaptation. https://finance.ec.europa.eu/sustainable-finance/tools-and-standards/eu-taxonomy-sustainable-activities_en

European Commission, Guidelines on reporting climate-related information https://ec.europa.eu/finance/docs/policy/190618-climate-related-information-reporting-guidelines_en.pdf

Standards & Frameworks

CDP Climate - C2.1, C2.1a, C2.2, C2.2a, C2.3, C2.3a, C3.2a

EU Taxonomy - Appendix A - Climate Change Adaptation

IRIS+ - OI2092

TCFD - Risk Management a), Risk Management c), Strategy a)

WEF Metrics - Integrating risk and opportunity into business process

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Evidence of Climate Change Strategy integrated into multi-disciplinary company-wide risk management processes or a specific climate change risk management process	Integrated process
Publicly report on our Climate Risk Management process	Yes
Evidence of current regulation climate-related risk included risk assessment	YES
Emerging regulation included as part of climate risk assessment	YES
Technology risk included as part of climate risk assessment	YES
Legal risk included as part of climate risk assessment	YES
Market risk included as part of climate risk assessment	YES
Reputational risk included as part of climate risk assessment	YES
Actue physicial risk included as part of climate risk assessment	YES
Chronic Physical Risk included as part of climate risk assessment	YES
Value chain stages covers own opeartions	YES
Value chain stages coverss Upstream activities	YES
Value chain stages coverss downstream activities	-
Short-term Time horizon(s) covered by climate risk assessment	YES
Long-term time horizon(s) covered by climate risk assessment	YES
Medium-term time horizon(s) covered by climate risk assessment	YES

Questionnaire

Does your company have a Climate Risk Management process? Please specify where this is available in your public reporting or corporate website.

1. (•)

   Yes, we publicly report on our Climate Risk Management process

   Climate Risk Management

   1. (•)

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Integrated into multi-disciplinary company-wide risk management processes, i.e. a documented process where climate change risks and opportunities are integrated into the company's centralized enterprise risk management program covering all types/sources of risks and opportunities

2. ○
A specific climate change risk management process, i.e. a documented process which considers climate change risks and opportunities separate from other business risks and opportunities

Types of climate-related risk included in risk assessment

1. ☑ Current Regulation
2. ☑ Emerging Regulation
3. ☑ Technology Risk
4. ☑ Legal Risk
5. ☑ Market Risk
6. ☑ Reputational Risk
7. ☑ Acute Physical Risk
8. ☑ Chronic Physical Risk

Value chain stages covered by climate risk assessment

1. ☑ The assessment includes our own operations
2. ☑ The assessment includes our upstream activities
3. ☐ The assessment includes our downstream activities and/ or clients

Time horizon(s) covered by climate risk assessment

1. ☑ Short-term
2. ☑ Medium-term
3. ☑ Long-term

2. ○ We do not publicly report on our climate risk management process
3. ○ Not applicable. Please provide explanations in the comment box below.

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.